

**SUBSTITUTE FOR
HOUSE BILL NO. 5723**

A bill to amend 1973 PA 116, entitled
"An act to provide for the protection of children through the
licensing and regulation of child care organizations; to provide
for the establishment of standards of care for child care
organizations; to prescribe powers and duties of certain
departments of this state and adoption facilitators; to provide
penalties; and to repeal acts and parts of acts,"
(MCL 722.111 to 722.128) by adding section 16a.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 16a. (1) Not later than 90 days after the effective date**
2 **of the amendatory act that added this section, the department shall**
3 **establish the provider advisory council.**

4 **(2) The council shall consist of at least 7 members, but not**
5 **more than 11 members, appointed by the Association of Accredited**



1 Child and Family Services Agencies. Council members must include
2 providers that represent organizations licensed by the department
3 as a child placing agency or child caring institution. Council
4 members must reside and have their primary address in this state
5 and be currently employed by private agencies whose headquarters
6 are in this state.

7 (3) Members of the council shall serve 3-year terms and may be
8 reappointed. The council shall meet at least quarterly each year
9 with the director of the department and may convene special
10 meetings as needed to do any of the following:

11 (a) Review proposed initial contracts, renewals, or material
12 amendments to current and existing contracts with child caring
13 institutions or child placing agencies.

14 (b) Review department-issued requests for proposals and
15 notices of funding availability.

16 (4) Not later than 30 days after the department establishes
17 the council, the department shall submit all proposed initial
18 contracts, renewals, or material amendments to current and existing
19 contracts with child caring institutions or child placing agencies
20 to the council not less than 120 days before the date the
21 department presents the contracts, renewals, or material amendments
22 to the child caring institution or child placing agency for
23 signing. The department shall include draft language for rates,
24 scope of services, performance expectations, indemnification and
25 insurance requirements, and any other material terms in the
26 proposed initial contracts, renewals, or material amendments to
27 current and existing contracts. The council shall review the
28 proposed initial contracts, renewals, or material amendments to
29 current and existing contracts and may, by majority vote, issue a



1 written recommendation of support, opposition, or suggested
2 modifications within 45 days of receiving the materials described
3 in this subsection from the department. Except for the council's
4 recommendation of opposition as described under subsection (5), if
5 the council issues a written recommendation as described under this
6 subsection, the department shall prepare a written response that
7 addresses each recommendation and state whether the recommendation
8 is accepted, modified, or rejected, and the rationale for each
9 decision. Except as otherwise provided under subsection (6),
10 completion of the council's review and the department's written
11 response under this subsection is required before execution of a
12 new or amended contract. The department shall transmit the written
13 response to the house and senate committees with jurisdiction over
14 child welfare.

15 (5) The council shall issue a written recommendation of
16 opposition or for existing contract termination if the council
17 finds that the proposed initial contracts, renewals, or material
18 amendments to current and existing contracts are between the
19 department and a child caring institution or child placing agency
20 that is owned by illegal immigrants, employs illegal immigrants, or
21 demonstrates evidence of fraudulent business activity. The
22 department shall accept the council's recommendation of opposition
23 as described under this section.

24 (6) If the department executes a new or amended contract
25 without complying with subsections (4) and (5), the department
26 shall provide a written explanation detailing the basis for its
27 decision and publish the explanation on its public website within
28 10 business days of making the decision but not later than 60 days
29 before the contract goes into effect. Subsections (4) and (5) do



1 not apply if any of the following apply:

2 (a) The department is responding to a declared public health
3 or child welfare emergency by the governor's office.

4 (b) The contract is required to comply with a federal statute
5 or rule or judicial order.

6 (7) A council member shall do all of the following:

7 (a) Conduct the council member with integrity, impartiality,
8 and transparency.

9 (b) File an annual conflict of interest disclosure form with
10 the department and update the conflict of interest disclosure form
11 promptly on any change.

12 (c) For each contract under consideration, disclose any
13 material financial interest relating to an actual or prospective
14 counterparty.

15 (8) A council member shall not do any of the following:

16 (a) Solicit or accept, directly or indirectly, any gift,
17 favor, or thing of value from any person or entity with a financial
18 interest in a contract under consideration, other than items of
19 nominal value permitted by department policy.

20 (b) Engage in collusion, bid rigging, price fixing, market
21 allocation, or other anticompetitive conduct in connection with the
22 department's contracts.

23 (9) A violation of subsection (8) constitutes a material
24 breach and may result in disqualification, contract termination,
25 damages, administrative sanctions, and referral to the attorney
26 general or appropriate law enforcement authority for criminal
27 charges.

28 (10) The department may remove a council member for repeated
29 or willful failure to exercise the council member's duties after



1 written notice and an opportunity to respond.

2 (11) The department shall not retaliate against a council
3 member who, in good faith, reports a suspected conflict of
4 interest, collusion, or other violation under this subsection.

5 (12) As used in this section, "council" means the provider
6 advisory council established under subsection (1).